“AI Compute Futures” — Has Wall Street Gone Too Far?

Podcast: prof G markets

AI Executive Summary

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Full Transcript

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I'm Seth Matlin, and this week on my podcast, Creator Destroy, which is a business show, a marketing show, and a show that argues they've always been the same thing. I sit down with JP Morgan Chase CMO, Carla Hassan, to talk about how she builds trust in 84 million customers when, amongst other things, her product is in many ways intangible. Turns out it requires real human connection of physical branches, enterprise-wide alignment, and the discipline to admit when you've broken it. Check out Creator Destroy Reimagining Marketing on YouTube and your favorite podcast app. Welcome to Prodigy Markets. I'm Ed Elson. It is August 13th. Let's check in on yesterday's market vitals. The S&P 500 climbed toward a fresh record following the latest inflation report. More on that in a moment. On Kalshi, the Ozevi rate hike this year fell to 54%. Meanwhile, the Dow was roughly flat. Brent crude was relatively stable, as was the yield on tenure treasuries. Core Weave shares rallied 19% after doubling its second quarter revenue. And finally, SpaceX shares rose 10%.

after Elon Musk posted a recording of a company all hands on X. In the meeting, Elon told employees that AI revenue will exceed all other SpaceX revenues by next month. OK, what else is happening? Wall Street will soon be trading AI computing power like a commodity. The CME, one of the

world's largest futures and options exchanges, announced yesterday that it will start launching compute futures in October. Each contract will represent one month's rent on an invidia chip. The idea in the CME's words is to turn computing power into a quote, standardized, tradable commodity. This could give data center providers and AI companies both price transparency and the ability to hedge against swings in the cost of compute. But it all rests on two big questions. Number one, is compute actually a commodity? And number two, should we actually be trading it?

Here to break this down, we're speaking with Rohan Goswami, business reporter at Semaphore. Rohan, this is the new future of AI. We're financializing it. We're turning it into a commodity. That's the new plan from the CME. What is your reaction to this? Does this make sense to you? Look, we wrote a story a few months ago, right? This is not a new thing, actually. This has been in the works for some time. Larry Fink made an oblique reference to it at Milken. earlier this year, that compute was going to become a financialized resource. And you quickly saw a couple of data providers actually step up to try and create the infrastructure for the CME and for ICE to actually offer these as products. I think they like to say that it's like oil or it's like electricity. It's scarce. It's hard to transport. It's sort of diffuse. I don't know that I fully agree with that if only because oil is actually finite. And so the idea that that this is one-to-one with oil falls apart there a little bit. And it's also, again, I know you and Ed Detrone have talked about this a lot. I know you've written about this a lot. It really boils down to what one player decides to do, and that's Nvidia, right? If you think about the forward curve of an asset, you can basically, and for those who don't really understand that, that's the idea of what direction month by month a commodity will trade in so they can go up they can go down right and if they go down that's basically suggesting that in the future things will become cheaper so theoretically you'd want to see a downward trending forward curve with compute futures right this is logical as more chips make it to the marketplace It becomes cheaper and easier for people to actually get their hands on compute. Of course, this isn't actually a free marketplace. It's entirely up to Nvidia, right? The maker of these chips to actually determine the prices. And they are one could argue disincented from creating a world where there is a price transparency, right? They don't

actually want people to know how much this costs and B, from actually making things cheaper because theoretically as the cost of compute goes.

down, their chips become less valuable. Of course, there's more nuance to that. And I'm not, you know, certainly not you or Ed's a throne level verse in this, but there are some sort of competing incentives here. And it also, I think as you alluded to raises a broader question, which is do we want to financialize this stuff? Right. I know you talked about this yesterday, but this isn't the only way that Wall Street is starting to dip its toes really aggressively into a space that had kind of before been a closed loop. Right. So we'll get to the Nvidia part in a moment because it's true. Nvidia is such an important piece of this. Because this first contract that CME is going to release here is going to be on the H100 chip, which is Nvidia's chip. But I just want to linger on the commodity piece of this for a moment. It seems like there is a lot of debate right now as to whether we can actually call AI compute a commodity like oil, like gold, like wheat, all of these commodities that trade on the CME. And it seems like one of the big issues is this idea that it isn't fungible. It isn't an identical commodity wherever you go because there are different types of chips. Chips can depreciate over time. You know, one generation of chip might be worse and older and less sophisticated than another. To what extent do you think that is a problem? Or is that something that the exchanges can just figure out. The exchanges to a degree have kind of figured it out. If you're thinking about units of measurement for whatever it is, hot-rolled steel is probably a good example, right? Not all steel is created equal, some steel is crappy, some steel is good, but generally we've agreed to come together and say, okay, as an index and as a forward curve of a commodity, it is a essentially monolithic thing and very few if any CME customers are taking custody of physical commodities, right? So I think the fungibility or the tangibility of it is less of an issue. And I think look, there's actually real utility, as you pointed out, for hyperscalers or even for frontier labs, if they know that demand is going to ramp up over time or they want to manage their downside, there are actual end users here. But I think that like, Broadly speaking the comparison again like I hate to keep coming back to this but It is not ever in my opinion going to be a real market because so it would be as it would be Analogous to standard oil right if there was one company that basically controlled in its entirety the flow of oil now You could argue that of course

the the the OPEC countries kind of functionally do that But there are a lot of countries that are not part of OPEC and don't engage in that right but here There's no other game in town except for Nvidia, right? So if Nvidia's stated mission is to make chips less scarce, to bring more chips into the ecosystem, you're depending on them basically to set the price, not just now, but down the road of this asset. Yes. And it seems that this all relates to Nvidia and more specifically to this 500 billion memorandum of understanding financing package that they announced with the Avengers of Wall Street, KKR, Blackstone, BlackRock, Goldman, etc. It seems as though this is the first step to legitimize AI compute, specifically NVIDIA compute as a commodity that can be used as collateral to raise hundreds of billions, perhaps trillions of dollars of debt.

the gist of what's going on here. I think there's a fair read there, but I also think it's kind of, it's a risk spreading mechanism, right? If you think about the deals that Nvidia has cut or said it will cut, right? Recall the 100 billion, again, memorandum of understanding the sign with open AI, I don't even remember when that was, right? This has all been concentrated in this multi-trillion dollar juggernaut that is basically lending its balance sheet to companies that don't have credit ratings. Anthropic, OpenAI, Frontier Labs, Hyperscalers, they're stepping in and saying, look, we are good for the money. Go ahead and buy our stuff. Now, if you are an Nvidia shareholder, if you are a Nvidia bondholder, if you are the US government, frankly, that at some point starts to make you really uncomfortable, that all this risk is lying and is concentrated with one entity that is incented to behave like a monopoly. If you think about what Nvidia is doing, they're subsidizing their chips at the expense of any potential new entrant and trapping these labs inside of their ecosystem. Now, this is functionally doing the same thing because, of course, Nvidia isn't bringing all these guys together to go buy chips from a competitor, but it is at least spreading the financial risk around, but also the financial upside. If you think about what it does for a Goldman or a KKR or a Blackstone, it provides them exposure to this play without actually having to invest directly in this play. You are essentially wrapping the risk around Nvidia's diligence, around their ability to design these fabs. If you are bullish about this space, it's great. You are partnering with someone who knows what they're doing and all you're doing is being good for the money.

Looking at this memorandum of understanding, whatever we want to call it, the 500 billion. Memorandums of understanding. Memorandums. As several have pointed out, it is not one cohesive vehicle. These are one-off vehicles that we don't really yet have much clarity on. Sorry. Yes. No, that is helpful clarification. Jensen Huang has said that this should assuage concerns about circular financing. The circular financing concerns, of course, being that These companies are kind of investing money into each other and then those companies pay the money back to them, which then the original company books his revenue. And then we think that the whole economy is growing, but really the money is being recycled. This has been discussed a lot on this podcast. Jensen Huang says that this should make those concerns less of a concern or put them to bed. Yeah. Does it? Should this? What do you think? I mean, I think.

Look, as the public markets and the private markets have started to look increasingly similar, so too have the risks associated in the public markets. And if you look at the S&P 500. I don't know off the top of my head what percentage gains have been propelled by NVIDIA at any sort of AI adjacent trade, but it is completely fair to say that you are either an AI have or have not and the have nots go like this right now and the haves generally lumpily go like this, right? So, and that the same is true in the private markets. If you look at the sales that are getting, the real sales, not the private to private stuff, it is stuff in and around AI. It is cooling systems. It is energy. It is land. It is actual data centers, right? Everything is an AI trade.

And so at the end of the day, just because more people are financing it, it doesn't change the key man risk. I think about, like, there was a company in the late 90s, right, that very famously went bankrupt later on or was rather required, Lucent, right, which had a massive backlog of orders, totaling into the tens of billions of dollars. And they said, there's no need for anyone to be worried here. We are financing these things. We are helping people with these things. We are going to help our customers get here. Of course there's demand, right? Well, of course the dot-com bubble burst. All their customers went bankrupt and Lucen was left with this theoretical backlog of orders that actually amounted to nothing. Shareholders were wiped. It was acquired. It is one of those situations where I look at this and I go, well, there's no really avoiding this risk. Just because there are more players

involved doesn't mean the actual risk has gone down. Yes. Yeah, our research associate, Dash, long pointed me to another late 90s anecdote. He pointed out that Enron actually tried to turn internet bandwidth into a tradable commodity as well.

Yes. Seemed like a good idea. Then we overbuilt the fiber optic cable and then suddenly the capacity flooded the market, the prices collapsed and then suddenly looked like a very bad idea. Is that a good analogy? In fairness to Enron, Enron actually did build a very pioneering energy trading desk that was acquired. I can't remember by whom. Maybe it was Citadel or another firm. But an incredibly lucrative desk that actually formed the bedrock of a lot of commodities trading in that space generally. But to return to compute futures, I honestly, I don't know. I think at least with internet bandwidth, everyone was using this. This was something that everyone touched. You could see a market emerging for it at some point, right? But if you are fundamentally bearish on this space and think everything is going to zero, it's not like the internet where at some point there will be enough human beings to satiate this demand. If you think this is a dud, if you think this is going to zero, which some people do, and you think it's very circular, then Then, yes, the comparison is apt in that it's fraudulent, but it's not going to have comparison in that it's not going to go in. Yes. All right. Very helpful. Very clarifying. Rowan Goswami is a business reporter at SEM4. Appreciate your time. Thank you. Appreciate as always, Ed. After the break, an update on inflation. And by the way, starting Monday, this show is taking a summer break for the next two weeks. We will be back on August 31st with a fresh episode. We'll see you there.

Support for the show comes from BCX, the public ticker for private tech. For generations, American companies have moved the world forward through their ingenuity and determination. And for generations, everyday Americans could be a part of that journey through perhaps the greatest innovation of all, the US stock market. It didn't matter whether you were a factory worker in Detroit or a farmer in Omaha, anyone could own a piece of the great American companies. But now, that's changed.

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Thousands of recipes from celebrated food publications around the world, local news from all 50 states, sports coverage from across the globe, audio stories you can take anywhere, and daily puzzles exclusive to Apple News Plus, all of it curated just for you. New subscribers try it free for one month at news.apple.learn. Terms apply. I've been thinking a lot about this one question I've been asked over and over. A question about the choices I've made, the colors of my hair, the things in the world I've spoken about, and the things that I haven't. I've heard this question asked so many different ways, but it always came down to, why are you like this? And as you know, there's no simple answer because people are not simple. We're messy and complicated and contradictory and layered. So on my new show, I'm sitting down with the ultimate disruptors, the athletes, the artists, the activists, and the architects of our culture who looked at the way things were and asked, why do we do it like this? And can we do it differently? My hope is to give us a little more space to that question and to the person on the other side of the mic, not to tell us their answer or read from their script, but to take us on their journey. Check out my new show, Why Are You Like This on YouTube or listen in your favorite podcast app.

New episodes drop every Thursday. Food and energy rose 2.5%. Both were down a tenth of a percentage point from the growth that we saw in June. Gasoline prices fell from a month ago, but remain 25% higher than they were last year. Meanwhile, prices continue to outpace wages, leaving consumers with less buying power than they had a year ago. Still stock

prices rose on the report and government bond yields retreated. Joining us to break down this inflation report was speaking with Mark Zandy, chief economist at Moody's Analytics. Mark, it's good to see you. I was surprised by this report. I had predicted earlier I thought that inflation was going to rise from the previous month. I mean, it rose 3.4% from the year ago, but I thought that we'd see higher growth than we did. That's not what we saw. We saw a little bit lower, kind of in line.

What do you make of this report? And what does it say about where we're headed in terms of inflation? Well, it was very consistent with consensus. So, you know, economists that look at this stuff could survey the various sources put together a kind of an average of those forecasts. And this was kind of right down the line, you know, right exactly where we anticipated. You know, taking the monthly inflation numbers at face value, I'd say pretty benign. I think if we continue to get these kinds of reads, that's a good sign. A lot depends on what happens with the Iran war and where oil and gasoline prices are going. And they're already up from where they were in July. So that augurs poorly for the month of August. And inflation remains, as you point out, stubbornly high and well above the Fed's target. But I'll take it. Look, we've got to start somewhere.

Hopefully this month, last month, take it together and we get a few more months together that will indicate that inflation is moving in the right direction. On gas prices, they were down very slightly from June. June was not great in terms of gas prices. But it seems that they're rising again when we look at the price of oil right now. which just a couple of days ago breached 90 a barrel again, because it seems that, I mean, we thought that we had a deal last week. I mean, I feel like a broken record here. We keep on saying there's a deal and there isn't a deal. We had the same thing last week. Oil prices were coming down and then it didn't materialize. Then I guess traders sort of realized, okay, there isn't a deal. The Iran situation remains very uncertain. How important is oil?

in terms of inflation going forward, and do you predict that it might get worse? Well, it's critical, obviously. I mean, gas prices, going back to food, a lot of that is based on the cost of diesel, because you have to transport the food from the seaport or the farm to the store shelf. You know, the price of

oil flows through to all kinds of other good prices of other goods. So it's really critical. And it has an outsize role in the kind of the collective thinking of Americans because that's the salient price. They see that price every day when they go to work and take their kids to school. So when oil and gasoline prices are moving north, that makes everyone.

you know, understandably upset, very difficult to change your driving behavior to adjust. So it's not great. You know, it looked like the, as you said, it looked like the war was going to wind down in July. We got some oil flowing through the strait. Oil prices got back down. We got gasoline below four bucks a gallon, which, you know, just for context, it was below 3 a gallon before the war started up. But it's pushback up, we're now back at 4.10, 4.15, and if that's where we stay, okay, it's a hardship, but we'll adjust, we'll live with it. But if the war goes off the rails and the strait doesn't... reopen at some point here in the next few weeks, next couple of months, and inventories of oil globally continue to wind down. At some point, prices are going to jump, and we're going to be looking back at 4.50, 5, and that'll be a real problem. So I don't think we can, you know, it's very difficult to forecast it because obviously it depends on, you know, these dynamics that are impossible to gauge, but, you know, hopefully, The parties involved might figure out a way to end this thing, get the straight up and get oil prices down. If they don't, and oil prices go up, then as I said, we got a problem. You mentioned earlier how prices are rising faster than wages. That seems to me to be the most important statistic when it comes to the consumer economy.

Is inflation eating into your buying power or making your buying power and spending power go down? Currently the answer is yes and the answer has been yes for quite some time now in 2026. What does this mean for one consumer spending but also just the consumer economy? Going forward do you think that this is a trend that will continue? Yeah, totally. This is a big big deal You know even it's even broader than just wages. So if you look at real so that's after inflation Disposable after tax so accounting for the tax cuts really in the year Income so again, that's the shooting match for that's the fodder the financial fodder for spending That's actually falling. It's declining on a year-over-year basis through the second quarter and coming into the third quarter and you know obviously with these inflation statistics

and prospects for higher gasoline prices That looks like it's going to continue wage growth continues to decelerate because of the tough labor market So, you know, and that's the average, right? So that means half of Americans are seeing their real income, their real purchasing power actually decline. Now they can cushion the effect on their spending for a while and you've seen that in the drawdown in their saving. People's, the saving rate, overall saving rate has come way in. It's not at a record low. It got lower during the housing bubble, you know, leading up to the GFC, the global financial crisis.

Other than that, this is the lowest saving rate we've ever seen. So we're kind of right on the edge for the consumer, the typical consumer, not the high-end net worth consumer because they've got other financial resources. But for the typical American and certainly for the folks in the bottom half below the average, this can't be sustained for very long and consumer spending will slow. Now, one thing Just one other quick note. One thing that is important to keep in mind, the folks, and we've talked about this in the past, the folks in the top part of the income distribution, the well-to-do, they drive the train, right? They account for the bulk of spending. So if they kind of hang in there, you know, the economy can kind of struggle through, even if the folks in the bottom two thirds of the distribution of income are struggling, and they certainly are. I don't know if you've seen these comments from Treasury Secretary Scott Besen, but he's said recently, he went on TV and said that he's sick of hearing about the K-shaped economy.

said that the K-shaped economy was over. I'm paraphrasing, I believe, but that was the main thrust of his argument, that we're no longer seeing this growing disparity between the rich in America and the poor. Yeah, I saw that. Is that a lie? What do you make of that? Well, it's not consistent with the data. And there's a lot of different data here, so that makes it difficult in a debate. There's no smoking gun data point we can point to say, aha, that's what we should all call us around. But if you look at the plethora of data information that's available, I think it's pretty clear that the income, wealth, and consumption distribution has gotten more skewed over time. And it's very skewed at this point in time. And just to give you a statistic that strikes at home for me is that folks in the top 20% of the income distribution account for 60% of the spending. So that gives you a sense of the skewness

that exists in the data. And you can see it in the spending data. You can see it in the consumer sentiment surveys. Even though we don't have clear cut data point to point to. There's a lot enough other data to suggest that the K shaped economies is in full force and a real problem for the folks in the bottom part of the K. We also got the jobs report last Friday. The US economy lost 23,000 jobs. The participation rate fell to 61.4%. I think that was the lowest number in several years. What do you make of the jobs market right now? What does it say about the overall US economy? And then also How does it impact the Fed's decision? Because it has to balance, of course, inflation, but also the labor market. A lot of debate here, too. But my sense is the job market's struggling. We're not creating any jobs. We've seen that over the past year, over the past year and a half. The job growth we are getting is in really one big sector of the economy that's healthcare, others than that. The net job growth is basically zero.

The unemployment rate has come in recently in the last few months, but that's only because of the decline in labor force participation, as you mentioned. Pretty sharp decline. I think there's probably a lot of measurement problems going on there, but it's fundamentally saying that if you lose your job, I think what's going on. is that if you lose your job, very difficult to find another because no one's hiring. We know hiring rates are incredibly low. And so many people become discouraged and just kind of step out of the labor market at least for a while. And I think that's biasing down the unemployment rate. So just if you do a little bit of arithmetic and you assume that the unemployment rate, excuse me, the labor force participation rate had not changed from where it was a year ago, the unemployment rate would be over 5%. So we would have a very different kind of discussion if that were the case. Inconsistent with that is going back to the wage growth. You don't see wage growth decelerate, certainly to the degree that it has, it's now below the rate of inflation plus productivity growth, unless you've got a pretty tough labor market, one that's struggling. And again, I think that's the case. So as you point out, the Fed's in a pretty tough spot, right? I mean, what do they do? Do they respond to the weaker economy job market by cutting interest rates? Doesn't feel like that's what they have in mind.

Or do they respond to the high persistent inflation and raise interest rates and take their chances with the job market and the economy? My sense is that they'll probably be able to get through all of this without doing anything, kind of thread the needle. because there's so much uncertainty here, the data is all over the place. But the data point we got last Friday, the jobs numbers and today's data, the CPI would suggest that they've got a little bit of room to maneuver right down the middle, keep rates unchanged. And I think that's the most likely scenario, although I'm going back to consensus, I'm outside to the consensus. Consensus now holds that the Fed will have to raise interest rates to battle inflation at some point later this year into next. Before we let you go, if you had to give the US economy a grade right now, let the grade. How would you grade it? You know, I give it a C minus. You know, it's growing. We're getting 2% growth, but it's not enough growth to create any jobs and make people feel comfortable about their financial situation. So, you know, it's not a recession. It's not, I don't think we're close to recession, but we're, it's a pretty uncomfortable place, fragile place to be. So I say C minus. And I'm a pretty easy grader.

Mark Zandy is chief economist at Moody's Analytics. Mark, appreciate your time. Yeah, any time, Mudd. News from OpenAI. Longtime executive and chief operating officer Brad Lightcap is leaving OpenAI after eight years. The COO said he's grateful to have spent most of the last decade building the company, but he is now moving on to quote something new. Now, there's nothing unusual about a longtime executive leaving a company. Happens all the time, as you know, what is more unusual though is more than 10 executives leaving a company. That doesn't happen very often at all, but it did happen to OpenAI. Yes, in the past few months alone, nearly a dozen leaders at OpenAI have left the company this week, for example, just one day before the COO announced his departure.

Open AI's Head of Ethics, Chloe Bakalaw, also left. And just weeks before she left, Open AI's Head of Safety Systems, Johannes Heidecker, also departed. That departure was preceded by Chief Futurist, Josh Ackiam's exit. And just weeks before that, we also saw exits from Bill Peebles, Open AI's Head of SORA, as well as Kevin Weil, Open AI's Head of Science. But it doesn't stop there. Srinivas Narayanan, Open AI's head of B2B applications also left, so did the head of robotics, Caitlin Kalanowski, and

so did chief communications officer Hannah Wong. All of these people left within the past several months, which begs a pretty important question. Why are they all leaving? To be clear, I don't know.

But given the fact that the company keeps continually delaying its IPO, combined with the fact that it keeps on racking up tens of billions of dollars in losses, you have to at least wonder if the leaders of OpenAI are simply losing faith in the company. And if that is true, well, then that is a big problem because, as we've discussed, the market has become increasingly dependent on the survival and the success of OpenAI. Just as a reminder, Open AI made up 70% of Microsoft's AI sales last year. And alongside Anthropic, it'll make up nearly three quarters of Amazon's AI sales this year. So if the stock market has become a giant bet on AI, and if AI has become a giant bet on open AI, then what does everyone bailing on open AI say about the stock market? And the answer is probably nothing good. Now, that doesn't mean that you should sell everything. We have never ever recommended selling. And I doubt that we ever will, to be honest. As we've said over and over, the stock market is a long term success machine. You're better off writing out the corrections versus trying to time them. But it does mean that we should keep very close tabs on open AI. We don't have much transparency into the financials of the company because it's still private.

But we do have transparency into the staffing. We know who's joining, and we know who is leaving. And if a company's people are any indication as to how a company is doing, well, then the signs at OpenAI are quite plain to see. It's not going great. OK, that's it for today. This episode was produced by Claire Miller and Alison Weiss and engineered by Benjamin Spencer. Our video editor is Brad Williams. Our research team is Dan Chalon, Kristen O'Donoghue, and Mia Silverio. And our social producer is Jake McPherson. Thank you for listening to ProfG Markets from ProfG Media. If you liked what you heard, give us a follow. I'm Ed Elson. I will see you tomorrow.